

**LAKES TREATMENT CENTER, et al v RESORT AT LAKE
TULLOCH, LLC, et al**

21CV45585

**DEFENDANT DIAMOND DIRT, LLC'S MOTION TO COMPEL
FURTHER RESPONSE AND PRODUCTION OF DOCUMENTS**

This case stems from a property dispute between The Lakes Treatment Center, Inc. ("Lakes") and Bernadette Cattaneo ("Cattaneo") (collectively "Plaintiffs") and The Resort at Lake Tulloch, ("Resort"), Narullah Safdari ("Safdari"), Odell Tristin ("Tristin"), Michael Van ("Van"), Andreas Ambramson ("Ambramson"), and Diamond Dirt LLC ("Diamond") (collectively, "Defendants.")

Now before the Court is a motion to compel production of documents brought by Diamond against Cattaneo.

I. Procedural History

On or about April 22, 2022, Cattaneo issued a subpoena to the Custodian of Records for Eide Baily ("2022 Subpoena") which is the accounting firm that has provided professional services to several parties involved in the instant lawsuit. (Declaration of George P. Rodarakis ¶ 3.) Cattaneo sought information related to the finances and tax returns of the Resort. (*Ibid.*)

In October of 2022 parties entered a Stipulation ("Eide Baily Stipulation") pursuant to which any additional document requests, including tax documents, related to Cattaneo were added to the requests to which Eide Baily was to respond. (Rodarakis Decl. ¶ 3, Ex. A.) The parties stipulated that the requests in the 2022 Subpoena "were relevant and properly discoverable and waived objections based on privacy. (Ex. A.)

In or about December 2023, Eide Bailey produced some tax returns for Cattaneo for the years 2012 and 2016-2021. (*Ibid.*)

On or about April 25, 2025, Diamond served Cattaneo with Requests for Productions of Documents, Set One ("RFP, Set One"). Among the requests was RFP No. 53 which requested all of Cattaneo's tax returns from 2010 to 2023. (Rodarakis Decl. ¶ 5.) In response, Plaintiff made multiple objections, including general privacy rights, and stated that she would not produce anything "beyond what has already been produced in this action." (*Id.* ¶ 6, Ex. B.)

On June 3, 2025, Diamond served Cattaneo with notice of a scheduled deposition and request to bring documents, including a request identical to RFP No. 53. (Rodarakis Decl. ¶ 7.) Cattaneo responded substantially similar, again refusing to produce records beyond what had already been produced. (*Ibid.*, Ex. C.) On June 24, 2025, Cattaneo attended her deposition at which she was asked about the document requests and whether any had been withheld due to privilege. (*Id.* ¶ 8.) Cattaneo stated “No.” (*Ibid.*) Cattaneo testified about the tax returns. (*Ibid.*) At the continued deposition on January 7, 2026, Cattaneo provided additional testimony on “an offer she had made to Diamond Dirt that involved certain tax considerations.” (*Ibid.*)

The parties continued meet and confer attempts. (Rodarakis Decl. ¶ 10.) However, Plaintiffs made it clear that they would not produce any more tax documents unless Diamond was also willing to provide their own financial information. (*Id.* ¶¶ 10-11.) On February 13, 2026, Resort filed a Motion to Compel Lake’s tax returns. During a meet and confer on Resort’s motion, Cattaneo’s attorney reiterated her position that no further production was required, particularly until Diamond was ready to provide their own tax returns. (*Id.* ¶ 12, Ex. H.) At that time, Diamond’s attorney reminded the parties that the Eide Bailly Stipulation covered only the tax returns for Resort, Lake and Cattaneo, and did not expressly include Diamond. (*Ibid.*) On February 26, 2026, Lakes and Cattaneo filed a motion to compel with respect to Diamond’s tax returns.

Eventually, the parties appeared to make some headway in efforts to resolve this discovery dispute. During a March 10, 2026, phone call with Plaintiffs’ counsel, Diamond and Plaintiffs’ counsel agreed that all parties would produce their tax returns and withdraw the multiple pending motions to compel. (Rodarakis Decl. ¶ 14.) In reliance on this conversation, Diamond did not oppose Plaintiffs’ motion to compel against it. (*Ibid.*) By email dated March 11, 2026, to Plaintiffs’ counsel, Diamond’s counsel sought to confirm the mutual understanding about tax returns – Plaintiffs’ counsel did not respond to that email. (*Id.* ¶ 15.)

Thereafter, Diamond produced its tax returns on March 23, 2026. (Rodarakis Decl. ¶ 16.) On March 24, 2026, Diamond’s counsel again reached out to Plaintiffs’ counsel seeking confirmation about the tax returns and reiterating that time was of the essence because of the rapidly impending deposition of the PMK at Eide Bailly. (*Id.* ¶ 17.) Plaintiffs’ counsel confirmed that the Lakes’ tax returns would be sent. (*Ibid.*)

On March 26, 2026, in preparing the exhibit binders for the Eide Bailly PMK, Plaintiffs’ counsel realized that Cattaneo’s tax returns were not included in the production of documents from Plaintiffs’ counsel. (Rodarakis Decl. ¶ 18.) In an email exchange between Diamond’s counsel and Plaintiffs’ counsel, it became apparent that Plaintiffs’ counsel had no intention of providing Cattaneo’s tax returns – despite discussions to the contrary. (*Ibid.*) On March 27, 2026, Plaintiffs’ counsel – for the first time – provided substantive reasons for not producing Cattaneo’s tax returns in response to either the RFPs, the deposition, or the email agreements. (*Id.* ¶ 19.) Essentially, Plaintiffs’ counsel contended that the tax returns were private, were no longer relevant, were no

longer covered by the Eide Bailly Stipulation, and that Diamond had waited too long to file a motion to compel that discovery.

Diamond's counsel reiterated that he had not opposed Plaintiffs' motion to compel and had produced its own tax returns on the belief that all parties had agreed to produce all tax returns requested. (*Ibid.*) The instant motion followed.

II. LEGAL STANDARD

On receipt of a response to a Request for Production of Documents, the demanding party may move for an order compelling further responses to the demand if the demanding party deems that (1) a statement of compliance with the demand is incomplete, (2) a representation of inability to comply is inadequate, incomplete, or evasive, or (3) an objection in the response is without merit or too general. (CCP § 2031.310(a).)

Motions to compel further responses to RPDs must set forth specific facts showing good cause justifying the discovery sought by the request. (CCP § 2031.310(b).) To establish good cause, a discovery proponent must identify a disputed fact that is of consequence in the action and explain how the discovery sought will tend in reason to prove or disprove that fact or lead to other evidence that will tend to prove or disprove the fact. (*Digital Music News LLC v. Superior Court* (2014) 226 Cal.App.4th 216, 224, disapproved on other grounds by *Williams v. Superior Court* (2017) 3 Cal.5th 531; see also *Kirkland v. Superior Court* (2002) 95 Cal.App.4th 92, 98 [characterizing good cause as "a fact-specific showing of relevance"].) If good cause is shown by the moving party, the burden shifts to the responding party to justify any objections made to disclosure of the documents. (*Kirkland, supra*, 95 Cal.App.4th at 98.)

III. DISCUSSION

Plaintiffs oppose the motion to compel on several grounds which will be discussed below.¹

A. The Motion is Untimely

Plaintiffs first argue that Diamond's motion to compel is untimely because it should have been brought within 45 days of Cattaneo refusing to respond to RFP No. 53. (Cal. Code Civ. Proc., section 2031.310, subd. (c).) Thus, according to Plaintiffs, Diamond needed to file its motion to compel within 45 days of May 28, 2025 (when Cattaneo provided her responses to the RFPs.) Plaintiffs argue that the 45-day time limit is mandatory and accordingly, the Court cannot rule on the motion. (See *Sexton v. Superior Court* 58 Cal.App.4th 1403.)

¹ The Court dispenses with Plaintiffs' argument that Diamond has misconstrued the meet and confer efforts as meritless.

The motion to compel specific to RFP No. 53 should have been brought within 45 days of May 28, 2025. The motion is therefore untimely, and the Court must deny the motion.

However, the motion to compel production of documents as requested in the Notice of Deposition requires a different analysis. Cattaneo's deposition took place over two days – June 24, 2025, and January 7, 2026. A motion to compel production of documents as part of a deposition notice must be brought within 60 days “after the completion of the record of the deposition.” (Civ. Proc. §2025.480(b).) Here, the deposition record was completed on January 16, 2026. (Rodarakis Decl. ¶ 9, Ex. E.) Thus, a motion to compel would need to be brought on or before March 16, 2026. However, the Court believes there were extenuating circumstances – brought on by Plaintiffs' counsel's own behavior – that precluded Diamond from timely filing the motion to compel within the deadline.

Within a matter of weeks of the conclusion of Cattaneo's deposition (and her continued failure to produce the requested tax returns at said deposition), the parties were all engaged in meet and confer efforts regarding discovery. At the heart of those conversations were the production of tax records from all the parties, including Cattaneo. By email dated January 30, 2026, Plaintiffs' counsel clearly indicated he knew that the parties wanted both of his clients' tax returns but was prepared to make the production of his clients' documents contingent upon other parties agreeing to produce their own tax returns. (Rodarakis Decl. ¶ 10, Ex. F.) On February 4, 2026, Plaintiffs' counsel again attempted to make a trade-off, agreeing to produce his clients' tax returns only exchange for reciprocal exchanges. (*Id.*, ¶ 11, Ex. G.) On February 9, 2026, Plaintiffs' counsel stated that he believed that the “tax returns of the parties are discoverable” but again conveyed reluctance to produce his clients' documents unless there was a quid pro quo exchange. (*Ibid.*)

On March 10, 2026, Plaintiffs' counsel confirmed a phone conversation with Diamond's counsel the previous day and stated, “I believe we have a tentative agreement for all parties to produce their tax returns.” (Rodarakis Decl. ¶ 14, Ex. I.) On March 11, 2026, Diamond's counsel reiterated that he was expecting Cattaneo's tax returns in time for the PMK's deposition and Plaintiff's counsel made no effort to dissuade Diamond from believing that Cattaneo's tax returns would be included. (*Ibid.*) On March 24, 2026, Diamond's counsel *again* reiterated that he was expecting both Cattaneo and Lakes' tax returns – and again Plaintiff's counsel did not make any argument against releasing Cattaneo's returns. (*Id.* ¶ 17, Ex. I.) It was only on March 26, 2026 – after the 60 day deadline -- did Plaintiff's counsel for the first time indicate that he did not intend to produce Cattaneo's tax returns. (*Ibid.*)

Plaintiffs' counsel's conduct gives the appearance of gamesmanship. As far back as 2022, the parties all agreed that Cattaneo's tax returns were relevant and discoverable. Diamond's counsel repeatedly sought her tax returns and was reasonable in relying on Plaintiffs' counsel's assurances that the tax returns for all parties were relevant and discoverable and would be forthcoming. Diamond produced its own tax returns and did not file an opposition to the motion to compel on the reasonable belief that Plaintiffs

would be producing their own tax returns. Plaintiffs' counsel cannot now reap the benefit of his conduct by punishing Diamond for filing a motion to compel a few weeks late.

Accordingly, the Court finds that the motion is timely.

B. Trial Continuance

Plaintiffs next argue that the motion is improper because the parties agreed to no new discovery as part of the agreement to continue the trial date. However, Plaintiffs' counsel recognizes that Diamond's ongoing requests for Cattaneo's tax returns was not new, but rather a "rehashing [of] old discovery issues." (Opp. P. 6.)

The Court finds that the Plaintiffs' argument that the motion to compel breaks the spirit of the continuance agreement to be meritless.

C. Cattaneo's Tax Returns are Private and Irrelevant

Plaintiffs next argue that Cattaneo's tax returns are private and irrelevant. They argue that the 2022 Stipulation is no longer applicable because everyone has agreed that Cattaneo never received a K-1 related to the Resort. (Opp. P. 8.) Plaintiffs urge the Court to recognize that an individual's tax returns are given greater privacy rights than those of the corporations, and if Cattaneo has to turn over her tax returns, then so do all the other individuals in this matter.

California courts recognize and "implied privilege against forced disclosure [of tax returns] in civil discovery proceedings." (*Schnabel v. Superior Court* (1993) 5 Cal.4th 704, 719.) However, this privilege is not absolute. (*Id.* at 721.) The privilege may be explicitly waived or the exercise of the privilege is so inconsistent with the gravamen of the lawsuit as to be implicitly waived. (*Ibid.*) Additionally, the privilege may not apply where public policy demands production of the tax returns. (*Ibid.*) Finally, tax returns may also be non-discoverable on the general basis of privacy.

Here, Cattaneo has repeatedly waived the privilege. By and through counsel Cattaneo has repeatedly agreed that the tax returns of all parties are relevant and discoverable. The 2022 Stipulation specifically lists Cattaneo's tax returns and financial information as relevant and discoverable. Second, Cattaneo testified at length in her deposition about her financial condition and relationship with the other parties (which is at the heart of her lawsuit) and her taxes. (Rodarakis Decl. ¶ 8, Ex. D.) At no time did she or her attorney object to disclosing this information on the grounds of any privilege. Finally, the Plaintiffs lawsuit – which relates to ownership, profits, and losses – places her financial condition at issue. This makes her tax returns not only relevant but also makes claiming that her financial information is privileged inconsistent with the gravamen of the lawsuit. Indeed, Cattaneo has routinely sought (or attempted to bargain for) access to the tax returns of all the other parties in this matter which evidences her own belief about their relevance.

Finally, any concerns about her privacy are already protected by the fact that the parties have a protective order in place with regards to tax returns. (Rodarakis Decl. ¶ 3.)

Accordingly, the Court finds that the tax returns are not privileged, are relevant, and are discoverable.

IV. Conclusion

Accordingly, the **motion to compel is GRANTED**. Cattaneo is to produce the tax returns as requested in the Notice within ten (10) days of this Order.

Diamond also seeks sanctions in the amount of \$6,210.00. The Court may impose sanctions for the failure to respond to discovery requests as a misuse of the discovery process. (Code Civ. Proc. § Section 2023.030(a).) The Court may also impose sanctions for the failure to meet and confer in a “good faith” attempt to resolve discovery disputes. (*Id.* section 2023.050(c).)

The Court finds that Plaintiffs’ counsel did not attempt to resolve the discovery dispute in good faith and therefore **awards sanctions in the amount of \$3,000.00**.

The Court warns the parties against gamesmanship in discovery and encourages greater, and more transparent, attempts at meet and confer and dispute resolution going forward.

The clerk shall provide notice of this ruling to the parties forthwith. Defendant Diamond to submit formal Orders complying with Rule 3.1312 in conformity with this Ruling.

MECHANICS BANK v STAI, et al

24CV47395

PLAINTIFF'S MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

This civil action stems from a lending agreement between Mechanics Bank ("Plaintiff") and Jeff and Mary Stai, individually and as Trustees of the Stai Family Trust, dated December 4, 2001 ("Defendants.")

Now before the Court is Plaintiff's motion for summary judgment. The motion is unopposed.

I. Background

Plaintiff is the successor in interest to the loan at issue in this case. (UMF 2.) Jeff Stai and Mary Stai are trustees of the Stai Family Trust, dated December 4, 2001 (the "Stai Family Trust") (UMF 3.) On October 18, 2004, Plaintiff and the Stai Family Trust entered into a Business Loan Agreement, whereby Plaintiff agreed to lend \$2,546,000 to the Stai Family Trust on the terms and conditions set forth therein ("Loan.") (UMF 4.) The Stai Family Trust used the proceeds to acquire a 120-acre vineyard and winery located in Vallecito, CA (the "Property") that is owned and operated by Twisted Oak Winery, LLC. (UMF 5.)

On October 18, 2004, Defendants executed and delivered to Plaintiff a Promissory Note ("Note") evidencing the Loan. (UMF 6.) The Note required that the Stai Family Trust make payments to Plaintiff every month until October 18, 2033 (the "Maturity Date"), at which time the entire outstanding balance of principal and accrued interest, together with any other unpaid amounts under the Note, would be due and payable in full. (UMF 7.) Pursuant to the Note, an "Event of Default" occurs when "Borrower fails to make any payment when due under this Note." (UMF 8.)

Prior to the disbursement of the loan proceeds, Jeff Stai and Mary Stai were each required to, and did, deliver to Plaintiff, a Commercial Guaranty in their individual capacities. (UMF 9.) Plaintiff disbursed the loan proceeds pursuant to the Business Loan Agreement and the Note, and in reliance on the Commercial Guarantees. (UMF 11.)

On August 23, 2013, Plaintiff and the Stai Family Trust entered into a Change in Terms Agreement, whereby Plaintiff agreed to modify and amend the Loan by, among other things, deferring outstanding interest and changing the interest rate applicable to the